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Policy Statement

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Definitions

POLICY NUMBER: FP-OPSFIN-104

Profit and Loss Variance Analysis and Forecast Review

To provide guidance on completion of the monthly Profit and Loss (P&L) Variance Analysis and Forecast Review.

Policy Statement

Each month, hotels are required to perform both a P&L Variance analysis and a Forecast Review. This policy outlines the requirements for each monthly review to ensure that hotel financials are monitored and analyzed for the purpose of accurate and transparent financial statements and related performance metrics. The Finance and/or Operations Leaders maintain these reports and utilize them for analysis and decision-making.

Applicability

All Owned & Operated Hotels (including Shared Service centres).

Exclusions/Exceptions

Focused Service hotels may follow a slightly different process but, they are still required to review the P&L results monthly and the Forecast on a quarterly basis at a minimum.

In certain instances, the reports required by this policy may be substituted with a reporting format requested or preferred by ownership. The alternate format should typically satisfy the requirements outlined in this policy, including the analysis of material variances, productivity levels, and pre-determined Key Performance Indicators (KPIs).

A. P&L Variance Analysis Guidance

P&L Variance Analysis Preparation:

The P&L Variance Analysis report (i.e., PRO report, Monthly Actual Commentary report, 012 Monthly Performance Review, etc.) is required to be completed monthly, and should contain, at a minimum, the information outlined below:

- (1) Reporting period
- (2) Key performance metrics (e.g., revenue, expenses, productivity levels, pre-determined KPIs)
- (3) Forecasted amounts for comparison
- (4) Methodologies and assumptions used in the report
- (5) Commentary (as required based on variance thresholds)
- (6) Any additional relevant information necessary for comprehensive performance analysis



Performance Analysis and Explanation:

1. The performance metrics and variances identified in the P&L Variance Analysis report require analysis and any material or unusual variances, as defined in the template, require investigation. Any relevant documentation should be retained.
2. Meaningful commentary is prepared, providing a comprehensive explanation of the identified variances, productivity levels, and KPIs.
3. Once completed, the P&L Variance Analysis report is approved by the Finance Leader (or Operations Leader as designee), retained, along with any supporting documentation, and submitted to Regional / Corporate Leadership, as dictated by regional requirements.

B. P&L Meeting Guidance

Hotel Management should conduct P&L Meetings monthly to review the prior month's results and discuss material or unusual variances identified as part of the P&L Variance Analysis.

P&L Meeting Attendees, Agenda, and Meeting Minutes Guidance

1. The P&L Meeting shall be attended by key stakeholders including, but not limited to:
 - i) Finance Leader (Mandatory Attendance)
 - ii) Operations Leader (Mandatory Attendance)
 - iii) Relevant Department Heads or Managers
 - iv) Property-level Finance team members as needed.
2. The agenda for the P&L Meeting shall include, but not be limited to, the following items:
 - i) Review of the key performance metrics presented in the P&L Variance Analysis report.
 - ii) Discussion and analysis of material or unusual variances, as defined in the regional template.
 - iii) Examination of productivity levels and KPIs specific to the hotel's operations
 - iv) Identification of action items or recommendations for performance improvement, to be assigned to relevant individuals or teams during the meeting
3. Minutes summarizing the attendees, discussions, decisions, and action items should be recorded during the meeting and documented by month-end. These records, including any supporting documentation, should be retained.



C. Forecast Review Guidance

Forecast Review Preparation and Approval

1. The preparation of a forecast in PropPlan is contingent upon the completion and approval of a Forecast Review that includes the following essential information:
 - a) Forecast period
 - b) Key forecasted metrics
 - c) Assumptions and methodologies used in the forecast
 - d) Forecast Spread with Commentary
 - e) Any additional relevant information required for accurate forecasting

Forecast Analysis and Investigation:

1. The forecast metrics and associated variances identified in the Forecast Review report (i.e., FLO report, Hotel Forecast Template, etc.) require analysis and any material or unusual variances, as defined in the template, require investigation.
2. Meaningful commentary is prepared, providing a concise explanation of the identified variances, productivity levels, and KPIs.
4. Once completed, the Forecast Review report is approved by the Finance Leader (or Operations Leader as designee), and submitted to Regional / Corporate Leadership, as dictated by regional requirements.

Definitions

TERM / ACRONYM	DEFINITION
Finance Leader	Ranking Accounting/ Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager)

